Chapter Fifty-Nine

Debt Reforms

FRBM Act is Dead

Ever since the Fiscal Responsibility and Budget Management Act (FRBM Act) was enacted in 2003–04, India has revised and reaffirmed its commitment to the elusive fiscal deficit target of 3 per cent of GDP three times. The last restatement was made in 2018–19. The Act was amended by the Finance Bill, 2018, to specifically state two commitments: to reduce fiscal deficit to 3 per cent by 2020–21 and maintain it, or go lower thereafter; and to bring the government's debt and liabilities to less than 40 per cent of GDP by 2024–25.

Fiscal developments after 2018–19 did not ensure adherence to these two statutory commitments.

India revised its fiscal deficit from 3.5 per cent in financial year 2017–18 and announced its headline fiscal deficit (the number in the Budget papers representing the fiscal deficit in the CFI) at 3.3 per cent for financial year 2018–19 (some expenditures/investments were pushed off-budget). Some further compression was expected in 2019–20 to finally achieve the 3 per cent target in 2020–21. However, budget management for the financial year 2018–19 and thereafter turned out to be more difficult than planned. The headline fiscal deficit came to Rs 9.34 lakh crore in 2019–20, which was as high as 4.6 per cent of the GDP. The fiscal deficit math went out of any consolidation arc completely in 2020–21. This fiscal deficit was projected, in the revised estimates, to be 9.5 per cent of GDP. The budget estimates of 2021–22 pegged it at 6.8 per cent.